

goodwill debt. Not only is Coca-Cola Enterprises doing considerably better than it would appear on paper, but every day the hidden asset is growing larger.

There's also hidden value in owning a drug that nobody else can make for seventeen years, and if the owner can improve the drug slightly, then he gets to keep the patent for another seventeen years. On the books, these wonderful drug patents may be worth zippo. When Monsanto bought Searle, it picked up NutraSweet. NutraSweet comes off patent in four years and will continue to be valuable even then, but Monsanto is writing the whole thing off against earnings. In four years NutraSweet will show up as a zero on Monsanto's balance sheet.

Just as in the case of Coca-Cola Enterprises, when Monsanto writes something off against earnings, the real earnings are understated. If the company actually makes \$10 per share in profits, but has to devote \$2 of that to "pay" to write things off such as NutraSweet, when it stops writing off NutraSweet the earnings will rise by \$2 a share.

In addition, Monsanto is expensing all its research and development in the same fashion, and someday when the expenses stop and the new products come onto the market, the earnings will explode. If you understand this, you have a big edge.

There can be hidden assets in the subsidiary businesses owned wholly or in part by a large parent company. We've already gone over Ford's. Another was UAL, the diversified parent company of United Airlines before the brief period when it was called Allegis (not to be confused with ragweed and pollen). Fidelity's airline analyst Brad Lewis spotted this one. Within UAL, Hilton International was worth \$1 billion, Hertz Rent A Car (later sold to a partnership headed by Ford) was worth \$1.3 billion, Westin Hotels was worth \$1.4 billion, and the travel reservation system another \$1 billion more. After subtraction of debt and taxes, these assets together were worth more than the price of UAL's stock, so in essence the investor picked up one of the world's largest airlines for free. Fidelity backed up the truck on this one, and the stock was a twobagger for us.

There are hidden assets when one company owns shares of a separate company—as Raymond Industries did with Teleco Oilfield Services. People close to either situation realized that Raymond was selling for \$12 a share, and each share represented \$18 worth of Teleco. By buying Raymond you were getting Teleco for minus \$6. Investors who did their homework bought Raymond and got Teleco for minus \$6, and investors who didn't bought Teleco for \$18. This sort of thing happens all the time.

For the past several years, if you were interested in DuPont, you got it cheaper by buying Seagram, which happens to own about 25 percent of DuPont's outstanding shares. Seagram became a DuPont play. Similarly, the stock in